

WORDS OF WARNING

The need for due diligence doesn't stop once you hire an adviser. Melanie Senter Lubin, securities commissioner for the State of Maryland, suggests being on guard for words and phrases that can spell trouble. If your adviser keeps saying them—or twisting your arm to do anything that makes you uncomfortable—“then get in touch with the authorities very quickly,” warns Lubin. Here's the kind of lingo that should set off warning bells:

“offshore”

“the opportunity of a lifetime”

“prime bank”

“This baby's gonna move.”

“guaranteed”

“You need to hurry.”

“It's a sure thing.”

“our proprietary computer model”

“The smart money is buying it.”

“options strategy”

“It's a no-brainer.”

“You can't afford not to own it.”

“We can beat the market.”

“You'll be sorry if you don't...”

“exclusive”

“You should focus on performance, not fees.”

“Don't you want to be rich?”

“can't lose”

“The upside is huge.”

“There's no downside.”

“I'm putting my mother in it.”

“Trust me.”

“commodities trading”

“monthly returns”